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# Property Development Due Diligence Checklist

The essential pre-purchase and pre-commitment review framework for Melbourne development sites

Due diligence. Risk control. Smarter acquisitions.

GHAN PROJECTS

Melbourne Property Development Consultancy

# Before you commit to a development site, review this properly

Many development sites look attractive at first glance because of location, block size, or a rough yield assumption. But proper due diligence goes far beyond surface appeal. Planning controls, title restrictions, servicing constraints, construction risks, environmental factors, legal issues, and end-value assumptions can all materially affect project viability.

This guide outlines the key due diligence items we assess when reviewing development opportunities across Melbourne so landowners and investors can make clearer, lower-risk decisions before purchase or project commitment.

## Who this is for

- Landowners exploring the development potential of their property
- Investors assessing residential development acquisitions
- First-time developers wanting a practical due diligence framework
- Buyers comparing multiple sites before making an offer
- Developers wanting a structured site review process before commitment

## How to use this guide

- Use this as an early-stage due diligence and acquisition screening tool
- Review each item before relying on headline yield assumptions
- Identify unknowns that require consultant, legal, planning, or engineering advice
- Use it to uncover deal risk and hidden costs before they become expensive

> *This guide is for discussion and screening purposes only. It does not constitute legal, financial, planning, or engineering advice. All parties should obtain independent professional advice before purchasing or committing to any development site.*

## Section 1: Property and site basics

Confirm the fundamental physical and legal characteristics of the site before progressing to detailed analysis.

1. **Property address confirmed**

   Verify the correct address, including any multi-lot or amalgamation issues that may apply.

2. **Correct lot and title details confirmed**

   Ensure lot and plan numbers match the property being considered and check for any discrepancies.

3. **Land size verified**

   Confirm total land area from title and survey data, not just marketing materials or agent advice.

4. **Site dimensions checked**

   Review actual dimensions to understand buildable area, setback implications, and layout efficiency.

5. **Frontage width confirmed**

   Frontage directly affects vehicle access, crossover count, and dwelling yield under planning controls.

6. **Corner or mid-block position noted**

   Corner sites may allow dual frontage access but also create additional setback and neighbourhood character considerations.

7. **Site shape efficiency reviewed**

   Irregular shapes, battle-axe lots, or tapered sites can reduce usable area and increase design complexity.

8. **Existing improvements noted**

   Document all buildings, outbuildings, pools, and hard landscaping that may require demolition or retention.

9. **Occupancy or tenancy status checked**

   Confirm whether the site is vacant, owner-occupied, or tenanted, and assess implications for timing and settlement.

10. **Access and crossover position reviewed**

    Assess current and proposed crossover locations for compliance, council requirements, and design flexibility.

## Section 2: Planning and development controls

Understand the planning framework that governs what can be built, how approvals are obtained, and what risks apply.

11. **Current zoning confirmed**

    Identify the zone and check what uses and development are permitted, discretionary, or prohibited.

12. **Overlays identified**

    Review all applicable overlays including heritage, vegetation, flooding, design and development, and environmental significance.

13. **Schedule variations reviewed**

    Check for local schedule variations that may modify standard zone provisions, setbacks, height, or density controls.

## Section 2: Planning and development controls (continued)

14 **Planning permit triggers checked**

Determine whether the proposed development requires a planning permit and identify relevant decision guidelines.

15 **Multi-dwelling potential assessed**

Assess realistic dwelling yield based on lot size, frontage, planning controls, and site constraints.

16 **Subdivision potential reviewed**

Confirm whether subdivision is supported by the zone and overlay controls and any minimum lot size requirements.

17 **ResCode / Clause 55 implications considered**

Review key ResCode standards including setbacks, private open space, overlooking, overshadowing, and site coverage.

18 **Clause 56 or subdivision controls considered**

For subdivision proposals, assess lot size, dimensions, access, landscaping, and service requirements.

19 **Local planning policy reviewed**

Check council's preferred character statements, housing strategy, and any applicable local policy objectives.

20 **Neighbourhood character risk noted**

Assess the risk that neighbourhood character objections or conditions could materially reduce yield or increase cost.

## Section 3: Title and legal due diligence

A thorough review of the site's legal position is essential. Restrictions on title can fundamentally change what is possible.

21 **Current copy of title reviewed**

Obtain and review the most recent title search to confirm ownership, encumbrances, and registered interests.

22 **Plan of subdivision reviewed**

Review the plan of subdivision to confirm boundaries, lot configuration, and any common property arrangements.

23 **Easements identified**

Map all easements and assess their impact on building footprint, setbacks, and site layout.

24 **Restrictive covenants identified**

Identify any restrictive covenants and assess whether they prevent or limit the intended development outcome.

25 **Section 173 agreements checked**

Check for any Section 173 agreements that impose obligations or restrictions relevant to development.

26 **Caveats or encumbrances noted**

Confirm whether any caveats or unregistered interests affect the site or require resolution before settlement.

27 **Building envelope restrictions checked**

Some titles or agreements impose building envelopes that restrict where development can occur on the site.

28 **Access rights and shared access issues checked**

Confirm legal access to the site and identify any shared driveway, right-of-way, or party wall obligations.

29 **Boundary anomalies or title dependencies noted**

Flag any discrepancies between title boundaries and physical features, or dependencies on adjacent land.

30 **Legal constraints impact on development outcome assessed**

Consider the cumulative effect of all legal restrictions on the realistic development outcome.

## Section 4: Services and physical constraints

Infrastructure and physical site conditions can significantly affect cost, design, and buildability. These issues are often underestimated.

31 **Sewer location checked**

Confirm sewer location, depth, and connection point. Build-over or relocation requirements can add significant cost.

32 **Stormwater discharge point identified**

Determine the legal point of discharge and assess whether on-site detention or overland flow management is required.

33 **Water connection availability reviewed**

Confirm water authority requirements for individual connections, fire services, and any main extension costs.

## Section 4: Services and physical constraints (continued)

34 **Power, pole, and pit constraints noted**

Identify overhead lines, poles, and underground pits that may affect building position, access, or require relocation.

35 **Build-over-easement issues flagged**

Building over or near sewers, drains, or other assets may require authority consent, design modification, or relocation.

36 **Drainage complexity assessed**

Complex drainage solutions including retarding basins, pump systems, or shared infrastructure increase cost and risk.

37 **Significant trees or vegetation constraints checked**

Identify any trees protected by overlays, local laws, or planning controls that may affect layout or require offsets.

38 **Slope and topography reviewed**

Sloping sites affect building design, cut and fill requirements, retaining walls, accessibility, and construction cost.

39 **Excavation and retaining wall implications noted**

Assess the likely extent of excavation and retaining, including cost implications and impact on adjacent properties.

40 **Waste, servicing, and site functionality tested in principle**

Confirm that waste collection, emergency access, and general site functionality can be achieved in principle.

## Section 5: Environmental and risk review

Environmental and construction risks can introduce cost, delay, and uncertainty that undermine project feasibility if not identified early.

41 **Flood risk checked**

Review flood mapping, floor level requirements, and any drainage scheme obligations that apply to the site.

42 **Bushfire or environmental overlay risks checked**

Identify bushfire-prone area designations, vegetation protection overlays, or environmental significance controls.

43 **Authority referral risks identified**

Determine whether any referral authorities have a role in the permit process and assess implications for timing and conditions.

44 **Contamination risk from previous land use assessed**

Review historical land use for potential contamination from industrial, commercial, or agricultural activity.

45 **Need for environmental investigation flagged**

Determine whether a preliminary site investigation or environmental audit is warranted before purchase.

46 **Floor level or flood certificate requirements noted**

Confirm whether floor level certificates are required and what impact minimum levels have on design and cost.

47 **Demolition complexity or hazardous materials risk noted**

Assess the existing buildings for asbestos, lead paint, or other hazardous materials that affect demolition cost and method.

48 **Construction access constraints reviewed**

Evaluate site access for construction vehicles, crane positioning, material storage, and any traffic management requirements.

## Section 6: Commercial and feasibility review

Even a site that passes all technical due diligence must be commercially viable. These final checks test the numbers.

49 **Likely yield tested conservatively**

Assess realistic dwelling yield under a conservative interpretation of planning controls, not best-case assumptions.

50 **Indicative end values, costs, and margin tested**

Run a high-level feasibility using current comparable sales evidence, realistic cost estimates, and appropriate contingencies.

# What good due diligence actually does

Due diligence is not about finding reasons to walk away from every deal. It is about understanding the real shape of the opportunity before committing — so that when you proceed, you proceed with clarity.

## 01 Tests assumptions before money is committed

Surface-level research often creates false confidence. Proper due diligence pressure-tests the key assumptions — yield, cost, value, and timing — before capital is deployed.

## 02 Separates site potential from site viability

A site may have theoretical development potential under the planning scheme but still fail commercially due to physical, legal, or cost constraints.

## 03 Highlights issues that can destroy margin later

Unexpected easements, drainage costs, slope remediation, or contamination can erode project margin by tens or hundreds of thousands of dollars.

## 04 Identifies where consultant advice is needed early

Good due diligence tells you which specialists to engage — planning, surveying, engineering, legal — before commitment, not after.

## 05 Improves negotiation position before purchase

Knowing the real constraints on a site gives you stronger ground to negotiate price, conditions, or extended due diligence periods.

## 06 Reduces the chance of overpaying based on optimism

Without proper due diligence, buyers often overpay by relying on agent yield estimates, best-case scenarios, or incomplete feasibility.

## 07 Helps compare multiple sites on a more objective basis

A consistent due diligence framework allows you to score and compare opportunities so decisions are driven by evidence, not emotion.

# Common reasons we reject sites

- ✗ Restrictive covenant prevents the intended development outcome
- ✗ Easement sterilises too much of the site
- ✗ Overlay controls materially reduce the realistic yield
- ✗ Site works and slope materially increase cost
- ✗ Drainage or servicing solutions are too expensive
- ✗ Access or parking layout is weak in principle
- ✗ Environmental uncertainty creates too much risk
- ✗ Demolition or buildability complexity is underestimated
- ✗ Margin relies on unrealistic end values
- ✗ The site is technically developable, but commercially weak

*A site can still have development potential and yet fail the due diligence test. Good acquisitions are not just possible projects — they are commercially sensible ones.*

# Quick Due Diligence Score

Use the 50 checkpoints in this guide to assess your site opportunity. Score each item as either a positive check (the issue has been confirmed or is manageable) or a gap (more information or advice is needed). Then use the scale below to assess overall acquisition readiness.

**40–50**

### Strong Candidate

Strong candidate with manageable apparent risk. The site has been well assessed across planning, legal, physical, and commercial dimensions. Proceed with targeted consultant verification.

**30–39**

### Conditional Opportunity

Possible opportunity, but requires deeper review. Key gaps exist in planning, legal, servicing, or commercial analysis that must be resolved before committing. Seek independent professional advice on identified weaknesses.

**<30**

### Higher-Risk Site

Major issues likely to affect yield, cost, timing, or approval pathway. Significant gaps in due diligence suggest this site requires careful review before any further investment of time or capital.

*This scorecard is an indicative self-assessment tool. It does not replace independent professional advice. A high score indicates that key due diligence items have been considered — it does not guarantee a successful project. Ghan Projects can help you assess each area in more detail.*

NEXT STEP

# Want us to assess a site properly before you commit?

Ghan Projects helps Melbourne landowners and investors review development opportunities with a practical, commercially focused due diligence process. We identify planning, design, servicing, legal, and feasibility risks early so you can make better decisions before purchase or project commitment.

## OUR SERVICES

- Site due diligence reviews
- Feasibility assessment
- Development strategy
- Acquisition support
- Risk identification
- Consultant coordination

**Book a Due Diligence Review**

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